

Pakistan

Transfer Pricing Country Profile¹

May 2025

		SUMMARY	REFERENCE
The Arm's Length Principle			
1	Does your domestic transfer pricing framework ² make reference to the arm's length principle?	☒ Yes ☐ No	Income Tax Ordinance, 2001, Section 108, Sub-Section 1
2	Does your domestic transfer pricing framework give the OECD Transfer Pricing Guidelines any role or status (e.g. legal binding effect, subsidiary application in the absence of domestic legislation, source of interpretation of domestic legislation and/or treaty provisions, other)?	☒ Yes ☐ No Rule 22 of Chapter-VI Subject to the other rules in this Chapter, the Commissioner, in applying this Chapter shall also be guided by international standards, case law and guidelines issued by the various tax-related internationally recognized organizations.	Income Tax Rules 2002, Chapter VI (Transfer Pricing), Rule 22
3	Does your domestic transfer pricing framework provide for a definition of related parties applicable for transfer pricing purposes? If so, please provide the definition contained under your domestic transfer pricing framework.	☒ Yes ☐ No The “group” means a collection of entities related through ownership or control, such that-	Income Tax Rules 2002, Chapter-VIA (DOCUMENTATION AND COUNTRY-BY-COUNTRY REPORTING REQUIREMENTS), Rule 4(g) (Definitions)

¹ Information in transfer pricing country profiles is provided directly by jurisdictions. By publishing the transfer pricing country profiles on the OECD website, the OECD does not certify the accurateness of the information provided therein. Importantly, transfer pricing country profiles published on the OECD website are made available to stakeholders for information purposes only, and are not intended to be used in substitution to a jurisdiction's legal instruments, jurisprudence, or administrative guidance or practice nor relied on as an accurate and complete description of domestic law.

² For purposes of transfer pricing country profiles, the term “domestic transfer pricing framework” refers to a jurisdiction's domestic legislation, regulations, administrative guidance or practice, jurisprudence or governing general principles in the jurisdiction.

		(i) it is either required to prepare consolidated financial statements for financial reporting purposes under any law for the time being in force or the accounting standards of the country or territory of which the parent entity is resident; or (ii) would have been required to be prepared had the equity shares of any of the entity were listed on a stock exchange in the country or territory of which the parent entity is resident;													
Transfer Pricing Methods															
4	Does your domestic transfer pricing framework provide for transfer pricing methods to be used in respect of transactions between related parties?	☒ Yes ☐ No If affirmative, please check those provided for in your legislation: <table border="1"> <thead> <tr> <th>CUP</th> <th>Resale Price</th> <th>Cost Plus</th> <th>TNMM</th> <th>Profit Split</th> <th>Other (If so, please describe)</th> </tr> </thead> <tbody> <tr> <td>☒</td> <td>☒</td> <td>☒</td> <td>☐</td> <td>☒</td> <td>☐</td> </tr> </tbody> </table>	CUP	Resale Price	Cost Plus	TNMM	Profit Split	Other (If so, please describe)	☒	☒	☒	☐	☒	☐	Income Tax Rules 2002, Chapter-VI (Transfer Pricing), Rule 23 Sub Rule 3
CUP	Resale Price	Cost Plus	TNMM	Profit Split	Other (If so, please describe)										
☒	☒	☒	☐	☒	☐										
5	Which criterion is provided for in your domestic transfer pricing framework for the application of transfer pricing methods?	Please check all that apply: ☐ Hierarchy of methods ☒ Most appropriate method ☐ Other (if so, please explain) The pricing methods are selected as per the nature of sectoral transactions.													

6	Does your domestic transfer pricing framework contain specific guidance on commodity transactions?	☐ Yes ☐ For controlled transactions involving commodities, the guidance contained in paragraphs 2.18-2.22 of the TPG is followed. ☐ Domestic transfer pricing framework provides for the use of a specific method for controlled transactions involving commodities (<i>if so, please explain</i>) ☒ No Transfer pricing manual is under development.	
Comparability Analysis			
7	Does your jurisdiction follow (or largely follow) the guidance on comparability analysis outlined in Chapter III of the TPG?	☐ Yes ☒ No	
8	Is there a preference in your jurisdiction for domestic comparables over foreign comparables?	☐ Yes ☒ No No local comparability databases are available.	
9	Does your domestic transfer pricing framework permit the use of secret comparables for transfer pricing assessment purposes?	☐ Yes ☒ No	

10	Does your domestic transfer pricing framework allow or require the use of an arm's length range and/or statistical measure (e.g. the interquartile range or other percentiles) for determining arm's length remuneration?	☐ Yes ☒ No	
11	Are comparability adjustments required under your domestic transfer pricing framework?	☐ Yes ☒ No	
Intangible Property			
12	Does your domestic transfer pricing framework contain guidance specific to the pricing of controlled transactions involving intangibles?	☐ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VI of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☒ No	
13	Are there any other rules outside your transfer pricing framework that are relevant for the pricing of controlled transactions involving intangibles?	☐ Yes ☒ No	

Hard-to-Value Intangibles			
14	Does your domestic transfer pricing framework contain guidance specific to hard-to-value intangibles (HTVI)?³	☐ Yes. If so, does your domestic transfer pricing framework follow the guidance on HTVI in Chapter VI of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☒ No	
Intra-group Services			
23	Does your domestic transfer pricing framework provide guidance specific to intra-group services transactions?	☒ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VII of the TPG? ☒ Yes ☐ No (please provide further explanations below) ☐ No	Income Tax Rules 2002, Chapter-VI (Transfer Pricing), Rule 22
24	Does your domestic transfer pricing framework provide for or allow the application of a simplified approach for low value-adding intra-group services?	☐ Yes. If so, does it follow (largely follow) the low value-adding services approach in Chapter VII? ☐ Yes ☐ No (please provide further explanations below) ☒ No	

³ In the case of jurisdictions that do not apply the HTVI approach (i.e. they responded “no” to question 14), it is not necessary to respond to the remaining questions in the HTVI section and these questions will not be published as part of jurisdiction’s transfer pricing country profile.

25	Are there any other rules outside your transfer pricing framework for pricing intragroup services?	☐ Yes ☒ No	
Financial Transactions			
26	Does your domestic transfer pricing framework provide guidance specific to financial transactions?	☐ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter X of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☒ No	
27	Are there any other rules outside your transfer pricing framework that are relevant for the tax treatment of financial transactions? <i>(e.g. whether your jurisdiction has implemented the measures in BEPS Action 4 to limit interest deductions and other financial payments or any similar rules)</i>	☒ Yes ☐ No	Income Tax Ordinance, 2001, Section 106, Sub-Section 1
Cost Contribution Arrangements			
28	Does your jurisdiction allow cost contribution arrangements?	☒ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VIII of the TPG? ☒ Yes ☐ No (please provide further explanations below) ☐ No	Income Tax Rules 2002, Chapter-VI (Transfer Pricing), Rule 22

Transfer Pricing Documentation

29	Does your domestic transfer pricing framework require the taxpayer to prepare transfer pricing documentation?	☒ Yes ☐ No <i>If affirmative, please check all that apply:</i> ☒ Master file consistent with Annex I to Chapter V of the TPG ☒ Local file consistent with Annex II to Chapter V of the TPG ☒ Country-by-country report consistent with Annex III to Chapter V of the TPG ☐ Specific transfer pricing returns (separate or annexed to the tax return) ☐ Other (specify):	Income Tax Ordinance, 2001, Section 108, Sub-Section 3-5 Income Tax Rules 2002, Chapter-VIA (DOCUMENTATION AND COUNTRY-BY-COUNTRY REPORTING REQUIREMENTS), Rule 27A-27Q
30	Please briefly explain the relevant requirements related to each transfer pricing documentation requirement (i.e. timing for preparation or submission, languages, etc.)	For each documentation requirement, the timing for preparation or submission, language, any difference in respect to the Action 13 three-tier approach, notification in the case of CbCR. Deadlines: The country-by-country report required to be filed under this chapter shall be filed not later than twelve months after the last day of the reporting fiscal year of the MNE group. Threshold: MNE group has a total consolidated group revenue equivalent to seven hundred and fifty million euros or more, or an equivalent amount in Pakistan Rupees, during the fiscal year immediately preceding the reporting fiscal year as reflected in its consolidated financial statements for such preceding fiscal year.	Income Tax Ordinance, 2001, Section 108, Sub-Section 3-5 Income Tax Rules 2002, Chapter-VIA (DOCUMENTATION AND COUNTRY-BY-COUNTRY REPORTING REQUIREMENTS), Rule 27A-27Q
31	Does your domestic transfer pricing framework provide for specific transfer pricing penalties and/or compliance incentives regarding transfer pricing documentation?	☒ Yes ☐ No Imposition of penalty on non-filing/ late filing. A penalty of Rs.2500 for each day of default from the due date subject to a minimum penalty of Pakistani Rs.10,000/-	Income Tax Ordinance, 2001, Section 182, Sub-Section 1A

32	Does your domestic transfer pricing framework provide for exemption from transfer pricing documentation obligations?	☐ Yes ☒ No For each documentation requirement, please indicate any exemption or materiality threshold.	
Administrative Approaches to Avoiding and Resolving Disputes			
33	Which mechanisms are available in your jurisdiction to prevent and/or resolve transfer pricing disputes?	Please check those that apply: ☐ Rulings ☐ Enhanced engagement or cooperative compliance programmes ☐ Advance Pricing Agreements (APA) ☐ Unilateral APAs ☐ Bilateral APAs ☐ Multilateral APAs ☐ International Compliance Assurance Programme (ICAP) ☒ Mutual Agreement Procedures ☐ Other (<i>please specify</i>): <i>Explanation:</i> <i>Pakistan has no APAs at the moment.</i>	Pakistan MAP Profile

Simplified and Streamlined Approach for Baseline Marketing and Distribution Activities

34	Does your domestic transfer pricing framework allow the application of the simplified and streamlined approach for baseline marketing and distribution activities in the relevant Annex of Chapter IV of the TPG⁴?	☐ Yes ☐ No ☒ Other (please elaborate) It is under consideration	
37	Does your jurisdiction respect the outcome of the application of the simplified and streamlined approach by a covered jurisdiction in line with the Inclusive Framework political commitment?	☒ Yes ☐ No As of March 2025, there has been no regulation established regarding the application of the simplified and streamline approach.	

Safe Harbours and Other Simplification Measures

39	Does your jurisdiction provide for any safe harbours or other simplification measures in respect of certain industries, types of taxpayers, or types of transactions (not listed in other sections of this questionnaire)?	☐ Yes ☒ No	
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Other Legislative Aspects or Administrative Procedures

40	Does your domestic transfer pricing framework allow downward corresponding adjustments in the absence of a mutual agreement procedure (e.g. unilateral corresponding adjustments)?	☐ Yes ☒ No	
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⁴ In the case of jurisdictions that do not apply the simplified and streamlined approach (i.e. they responded “no” to question 34), it is not necessary to respond to questions 35, 36 and 38 and these questions will not be published as part of jurisdiction’s transfer pricing country profile.

41	Does your domestic transfer pricing framework allow or require taxpayers to make year-end adjustments?	☐ Yes. Year-end adjustments are required. ☐ Yes. Year-end adjustments are allowed. ☒ No There are no regulations available in domestic law mentioning the TP year-end adjustments in Pakistan.	
42	Does your domestic transfer pricing framework provide for secondary adjustments?	☐ Yes ☒ No	
Attribution of Profits to Permanent Establishments			
43	Which version of Article 7 of the OECD Model Tax Convention on Income and on Capital do your tax treaties contain?	☐ Article 7 as it read before 2010. ☐ If so, please indicate in how many treaties: ☒ Article 7 as it reads after 2010. ☐ If so, please indicate in how many treaties: 9 ☐ Other (please provide additional details)	
44	For tax treaties containing Article 7 as it read before 2010, does your jurisdiction apply the authorized OECD approach (AOA)?	☐ Yes ☒ No (please explain the approach used and which tax treaties are concerned) Section 105 of the Income Tax Ordinance, 2001, provides guidance for the attribution of profits to permanent establishments of non-resident entities.	Income Tax Ordinance, 2001, Section 105

45	Does your domestic transfer pricing framework contain specific guidance for the attribution of profits to permanent establishments of non-resident entities? If so, please provide a summary of the main features of this guidance.	☐ Yes, they follow the AOA as described in the 2008 Report on the Attribution of Profits to Permanent Establishments ☐ Yes, they follow the AOA as described in the 2010 Report on the Attribution of Profits to Permanent Establishments ☒ Yes, they do not follow the AOA (please provide a summary of the main features of these rules) ☐ No The profit of the permanent establishment shall be computed on the basis that it is a distinct and separate person engaged in the same or similar activities under the same or similar conditions and dealing wholly independently with the non-resident person of which it is a permanent establishment; There shall be allowed as deductions any expenses incurred for the purposes of the business activities of the permanent establishment including executive and administrative expenses so incurred, whether in Pakistan or elsewhere. No deduction shall be allowed for amounts paid or payable by the permanent establishment to its head office or to another permanent establishment of the non-resident person (other than towards reimbursement of actual expenses incurred by the non-resident person to third parties) by way of: (i) royalties, fees or other similar payments for the use of any tangible or intangible asset by the permanent establishment; (ii) compensation for any services including management services performed for the permanent establishment; or (iii) profit on debt on moneys lent to the permanent establishment, except in connection with a banking business; and No account shall be taken in the determination of the income of a permanent establishment of amounts charged by the permanent establishment to the head office or to another permanent establishment of the non-resident person (other than towards reimbursement of actual expenses incurred by the permanent establishment to third parties) by way of:	Income Tax Ordinance, 2001, Section 105
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		(i) royalties, fees or other similar payments for the use of any tangible or intangible asset; (ii) compensation for any services including management services performed by the permanent establishment; or (iii) profit on debt on moneys lent by the permanent establishment, except in connection with a banking business.	
Other Relevant Information			
46	Other legislative aspects or administrative procedures regarding transfer pricing	N/A	
47	Other relevant information (e.g. <i>whether your jurisdiction is preparing new transfer pricing regulations, or other relevant aspects not addressed in this questionnaire</i>)	Transfer pricing manual is under development.	

For more information, please visit: <https://www.oecd.org/en/topics/sub-issues/transfer-pricing/transfer-pricing-country-profiles.html>